# NexusMart: what we found and how to grow profitably

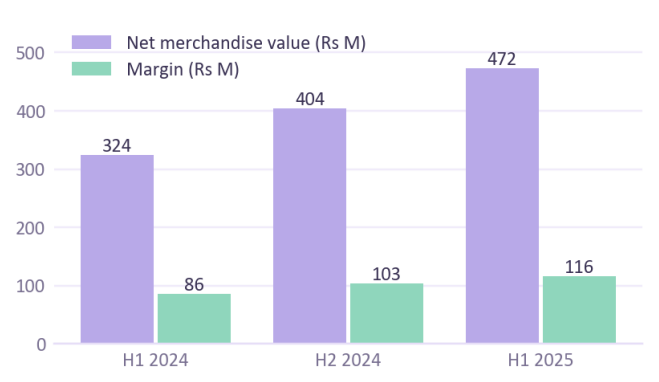
Findings and advice | Orders Jan 2024 to Jun 2025 | all values in PKR | CODE//CONNECT'26 Data Analytics

| Rs 1.14B | 26.7% | 145,331 | 5.1% | 9.2% |
|---|---|---|---|---|
| Net revenue | Margin on net revenue | Orders (non-cancelled) | Return rate | Cancellation rate |

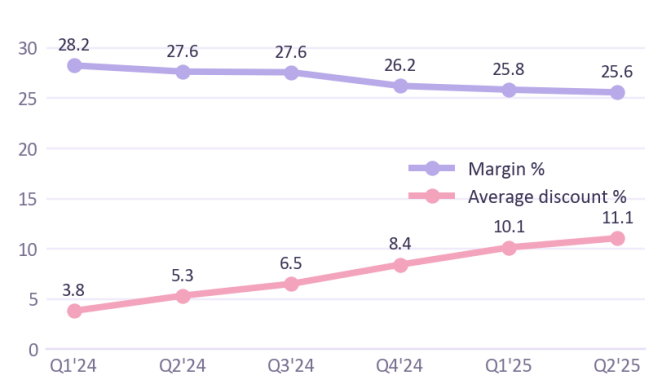
## The short version

NexusMart is growing fast: sales in the first half of 2025 were **46% higher** than a year earlier. Profit is **not keeping up**: margin rose only 34%, and the margin rate has slipped from 28.3% to 25.6%. The data points to four fixable leaks, in this order of size: **deep discounting**, **low-margin Electronics**, **cash-on-delivery (COD) cancellations** and **returns in Fashion and Footwear**. Acting on them protects profit without needing more customers.

**Sales grew faster than profit**




**Margin % falls as the average discount climbs**



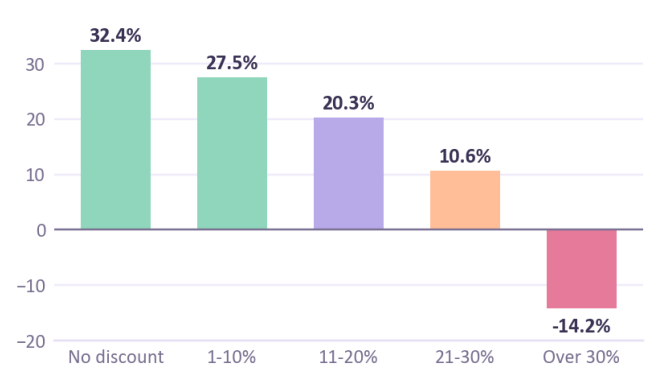

### 1 Growth is outpacing profit

From H1 2024 to H1 2025, net merchandise value rose from Rs 323.8M to Rs 472.4M (+46%), but margin rose from Rs 86.0M to Rs 115.6M (+34%). The margin rate fell in every quarter, from 28.3% (Q1 2024) to 25.6% (Q2 2025). Over the same period the average discount more than tripled, from 3.8% to 11.1% of list price, and the discount bill grew from Rs 17.5M to Rs 61.7M per half-year. Recorded shipping fees also grew faster than sales (+82%, Rs 19.6M to Rs 35.6M).

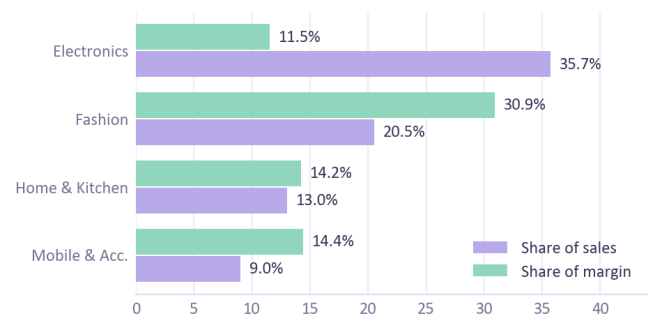
### 2 Discounts above 30% lose money

Margin falls steadily with discount depth. Lines discounted by more than 30% earn a **negative 14.2% margin**: they brought in Rs 81.5M of sales (6.8% of the total) but a gross profit of **minus Rs 11.2M**, because they were sold below cost. Lines discounted 21-30% earn only 10.6%, against 32.4% for undiscounted lines. Discounts do not buy fewer returns either: return rates are about 5% at every depth up to 30%, and 6.0% above it.

**Margin % by discount depth (kept lines)**




**Electronics: a third of sales, 11% of margin**



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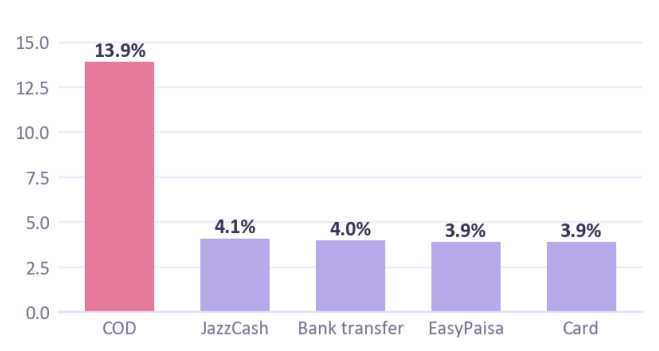
## 3 Electronics sells the most but earns the least

Electronics is **35.7% of sales** (Rs 427.8M) but earns only **8.5% margin**, which is **11.5% of total margin** (Rs 35.0M). Fashion is 20.5% of sales but delivers 30.9% of margin (42.2% margin rate). Each extra percentage point of Electronics margin is worth roughly Rs 4M. Grocery is also thin at 8.9%, but it is only 2% of sales.

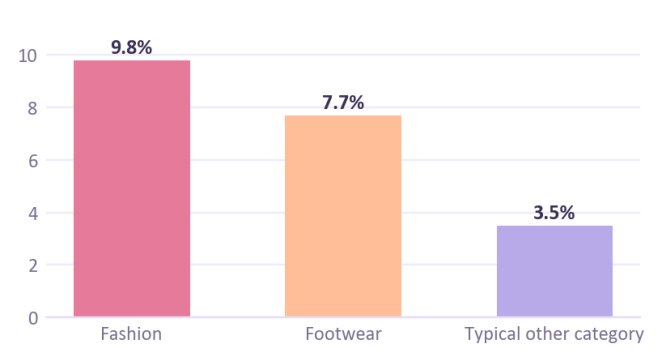
## 4 COD is half of all orders and most of the cancellations

COD accounts for 83,348 of 159,986 orders (52%) and **cancels 13.9% of the time**, against 3.9-4.1% for every prepaid method. COD cancellations lose **Rs 97.3M** of the Rs 121.8M of cancelled sales (80%). As a size check only: if COD cancelled at the prepaid rate of 4.0%, about 8,300 fewer orders (roughly Rs 70M of sales) would be lost. Cancellations are also higher in Tier-3 cities (12.0%) than in Metros (7.5%), which fits a COD-heavy mix; this is a link, not proof.

**Cancellation rate by payment method**




**Return rate: Fashion and Footwear stand out**



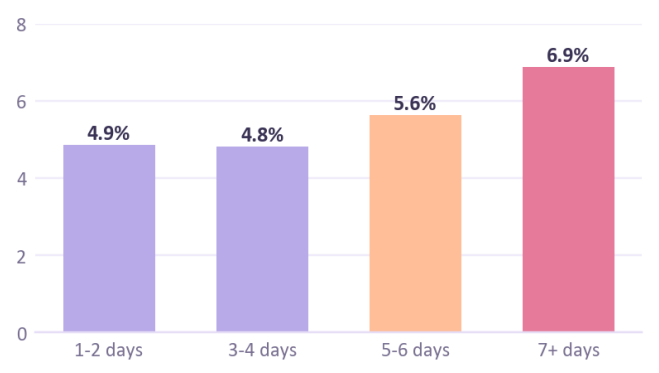

## 5 Returns are a Fashion and Footwear problem, and slow delivery makes them worse

Fashion has the highest return rate (**9.8%**) and accounts for Rs 22.4M of the Rs 57.7M refunded (39%); Footwear returns 7.7%. Most other categories sit between 3.0% and 3.8%. **Size/Fit** is the single largest stated reason (2,372 of 14,597 returned lines), followed by 'Not as described' and 'Damaged' (2,164 returns have no reason recorded). Delivery speed matters too: orders delivered in 7+ days are returned **6.9%** of the time vs 4.8% for 1-4 days. 15% of orders take longer than 5 days.

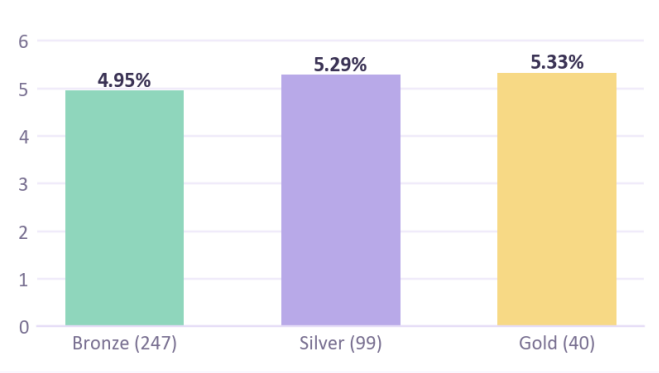
## 6 Seller tier does not predict quality

Gold sellers (40) return 5.3% of delivered lines against 4.95% for Bronze (247), and all tiers average the same 3.4 days to ship. Tier is therefore not a reliable quality signal. The dashboard's seller quality score (returns, on-time delivery, cancellations, rating) ranks sellers on outcomes instead.

**Return rate by delivery time**




**Return rate by seller tier (number of sellers)**



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## More findings: customers, places and timing

- **Customers:** 8,256 Champions (26% of active customers) generate **59.6%** of revenue. 4,321 'At Risk' customers still account for Rs 124.4M of past sales, 8,275 are 'Lost', and 10,954 registered customers (26%) have never ordered. 71.8% of buyers order more than once; observed lifetime value is about Rs 38,000 per buyer.
- **Places:** Punjab and Sindh produce **75%** of sales, and the top 5 cities (Karachi, Lahore, Islamabad, Rawalpindi, Faisalabad) produce 49%. Balochistan, Azad Kashmir and Gilgit-Baltistan are each under 4%.
- **Timing:** an 11.11 day earns about **3.1x** a regular day (Rs 6.5M vs Rs 2.1M), Black Friday 2.5x, and Ramadan lifts the daily average by about 38%. Cancellation and return rates on these days are no worse than usual (cancellations 8.2-8.5% vs 9.2%), so peaks are an operations-capacity question, not a quality one.
- **Channels:** App 50%, Web 30% and Mobile Web 20% of sales, with near-identical cancellation rates (9.0-9.3%).

## How we can help: a 7-step action plan

| Action | Evidence | What to track |
|---|---|---|
| **1. Cap discounts at 20% and stop anything above 30%** | Lines over 30% earn -14.2% margin (-Rs 11.2M). Average discount 3.8% to 11.1% in six quarters. | Margin %, average discount %, share of lines over 20% |
| **2. Fix Electronics economics** | 35.7% of sales, 8.5% margin, 11.5% of margin. 1 point of margin is about Rs 4M. | Electronics margin %; supplier cost and bundle margin |
| **3. Push prepaid, confirm COD orders** | COD cancels 13.9% vs about 4% prepaid; Rs 97.3M of cancelled sales. Size check: up to about Rs 70M. | COD cancellation rate; prepaid share of orders |
| **4. Cut Fashion and Footwear returns** | 9.8% and 7.7% return rates vs 3.5% elsewhere; Size/Fit is the top reason; Fashion is 39% of refunds. | Return rate by category; Size/Fit returns |
| **5. Set a delivery promise** | 7+ day orders return 6.9% vs 4.8%; 15% of orders take over 5 days; Tier-3 cancels 12%. | On-time rate (5 days or fewer); return rate by delivery time |
| **6. Win back and activate customers** | 4,321 At Risk customers (Rs 124.4M), 8,275 Lost, 10,954 never ordered. | Repeat purchase rate; At Risk to Loyal moves |
| **7. Re-tier sellers on outcomes; plan for 11.11 and Black Friday** | Gold returns more than Bronze; peak days earn 2.5-3.1x a normal day. | Seller quality score; stock and carrier capacity on peak days |

### Assumptions and data notes

Metric definitions follow the problem statement: NMV is non-cancelled net sales (In Transit included), net revenue is NMV minus valid refunds, margin is net revenue minus the cost of kept lines, return rate is returned lines over delivered lines, cancellation rate is cancelled over all orders. 'On time' means shipped in 5 days or fewer (84.7% of orders; median 3 days). Sizing figures are simple arithmetic on past data, not forecasts, and links shown (COD and Tier-3, delivery time and returns) are associations, not proof of cause. Cancelled orders have no shipping record, so delivery time can only be compared with returns. Records that could not be matched were kept under an 'Unknown' member, not deleted: 4.0% of lines have no ship city, 0.2% no customer and 0.3% no product. Whether shipping fees are a cost or a charge to the customer is not stated in the data, so we only report that they grew faster than sales.

### The bottom line

NexusMart does not have a demand problem; it has a margin-leak problem. If we only do three things, they should be: **stop selling below cost** (cap discounts), **get COD orders confirmed or prepaid**, and **fix size and fit information in Fashion and Footwear**. Each one targets a loss we can see and measure in the data, and the dashboard tracks all three every month.